Long-term plans last for the period of 10 to 30 years. They are also known as 'perspective plans'. The basic philosophy behind long-term planning is to bring structural changes in the economy.

6. Financial Vs Physical Planning: Financial planning refers to the technique of planning in which resources are allocated in terms of money while physical planning pertains to the allocation of resources in terms of men, materials and machinery.

7. Functional Vs Structural Planning: Functional planning refers to that planning which seeks to remove economic difficulties by directing all the planning activities within the existing economic and social structure.

The structural planning refers to a good deal of changes in the socio-economic framework of the country. This type of planning is adopted mostly in under developed countries.

8. Comprehensive Vs Partial Planning: General planning which concerns itself with the major issues for the whole economy is known as comprehensive planning whereas partial planning is to consider only the few important sectors of the economy.

11.9 NITI Aayog



NITI Aayog (National Institution for Transforming India) was formed on January 1, 2015 through a Union Cabinet resolution. NITI Aayog is a policy think-tank of the Government of India. It replaced the Planning Commission from 13th August, 2014. The Prime Minister is the Chairperson of NITI Aayog and Union Ministers will be Ex-officio members. The Vice- Chairman of the NITI Aayog is the functional head and the first Vice-Chairman was Arvind Panangariya.

11.9.1. Functions of NITI Aayog

1. Cooperative and Competitive Federalism: To enable the States to have active participation in the formulation of national policy.

2. Shared National Agenda: To evolve a shared vision of national development priorities and strategies with the active involvement of States.

3. Decentralized Planning: To restructure the planning process into a bottom-up model.

4. Vision and Scenario Planning: To design medium and long-term strategic frameworks towards India's future.

5. Network of Expertise: To mainstream external ideas and expertise into government policies and programmes through a collective participation.

6. Harmonization: To facilitate harmonization of actions across different layers of government, especially when involving cross-cutting and overlapping issues across multiple sectors; through communication, coordination, collaboration and convergence amongst all the stakeholders.

7. Conflict Resolution: To provide platform for mutual consensus to inter-sectoral, inter-departmental, inter-state as well as centre-state issues for all speedy execution of the government programmes.

12-Economics-Chapter_11.indd 251 2/6/2020 12:00:54 PM